Prepared by ATCO for its own underwriting. This is not a third-party market study or an appraisal, and it is not a substitute for a NIC MAP pull or a study commissioned from CBRE, JLL or a similar firm.

MARKET STUDY: MONTVILLE TWP

Brookside at Montville AL/MC pad · Morris County, NJ · 114 units (78 AL · 36 MC) · 4 acres

Finding: Not supported at model rents. Montville's market has about as many 75+ residents as Florham Park's but lower incomes and a larger, cheaper existing stock. The project needs about 33% of unmet demand at a 10% need rate, about 43% if Woodmont is built, and the conservative case shows no unmet demand at all. The bigger problem is rent: listed prices inside this market are mostly $4,500–6,000 a month, far below the $9,680 the model takes from the Morris County Class A set.

AGE 75+ IN THE PMA	INCOME-QUALIFIED 75+ HOUSEHOLDS	COMPETITIVE AL/MC UNITS + PIPELINE
28,761	**10,861**	**1,010 + 90**

AL/MC CAPTURE · 10% (12%) NEED	PENETRATION WITH THIS PROJECT	MODEL AL RENT VS CLASS A MEDIAN
33% (18%)	**11.2%**	**$9,680 vs $9,105**

1 · PRIMARY MARKET AREA

7-mile radius (about 15 minutes): Montville, the Route 23 / Route 202 corridor, Wayne and the Caldwells. Route 287, Route 46 and Route 23 converge near the site. The market runs north to Kinnelon and Butler, east into Wayne and the Caldwells, and south to Parsippany and East Hanover. The Morris 'golden triangle' (Morristown, Madison, Florham Park) is outside it, and that matters for rents.

TOWN	POPULATION COUNTED	75+ (EST.)	65+ HOUSEHOLD MEDIAN INCOME
Montville (Towaco, Pine Brook)	22,450	1,753	$107,388 07045, 07082, 07058
Lincoln Park	10,915	852	$74,868 07035
Pequannock (Pompton Plains)	15,571	1,216	$73,534 07444
Boonton	8,815	688	$88,529 07005
Boonton Township	4,263	333	$88,529 07005
Kinnelon	10,248	800	$81,964 07405
Butler	8,307	649	$81,964 07405
Mountain Lakes	4,472	349	$194,904 07046
Denville	17,107	1,336	$98,068 07834
Parsippany-Troy Hills	56,162	4,386	$67,847 07054
East Hanover	11,157	871	$95,375 07936
Hanover Township (Whippany) (50%)	7,338	573	$88,889 07981
Fairfield	7,872	447	$84,490 07004
West Caldwell / Caldwell / North Caldwell	26,667	1,513	$85,954 07006
Wayne	54,838	3,502	$106,889 07470
PMA, town method	**266,182**	**19,269**	**$89,444**

Population: 2020 Census, rounded. 75+ by town is the county's 75+ share applied to town population, which understates affluent suburbs. 65+ medians: ACS 2024 5-year by ZIP, weighted by estimated 75+ population.

2 · AGE 75+ DEMOGRAPHICS AND INCOME QUALIFICATION

Age 75+ in the PMA (town method × 1.49 calibration)	**28,761**
Conservative case: town method, uncalibrated	19,269
75+ households (0.67 per person)	19,270
Share of 65+ households with income ≥ $75,000 (≥ $100,000 · ≥ $150,000)	56% (46% · 32%)
Income-qualified 75+ households (≥ $75,000, before home equity)	**10,861**

Census tract tables could not be pulled for this study, so 75+ counts are scaled from the town method by the ratio observed at Florham Park (1.49x), where both are available. Income shares come from ZIP-level 65+ medians, converted with an income spread calibrated to Florham Park's tract data (it reproduces 61.9% at $75,000 within half a point). A $75,000 floor with home equity supports roughly $9,000–10,000 a month of AL for 4–5 years in markets with $550,000+ home values.

3 · EXISTING COMPETITIVE SUPPLY

COMMUNITY	TOWN	TYPE	UNITS / BEDS	OPENED
Chelsea / Mira Vie at Montville	Montville	AL/MC	152	—
Fox Trail Memory Care at Montville	Montville	MC	15 est.	—
Victoria Mews Assisted Living	Boonton Twp	AL/MC	97	—
CareOne at Morris (AL)	Parsippany	AL	61	—
Sunrise of Mountain Lakes	Mountain Lakes	AL/MC	80 est.	—
Carriage House of Lincoln Park	Lincoln Park	AL	30 est.	—
Sunrise of Wayne	Wayne	AL/MC	85 est.	—
Brookdale Wayne	Wayne	AL/MC	80 est.	—
The Bristal at Wayne	Wayne	AL/MC	130 est.	—
CareOne at Wayne (AL)	Wayne	AL	80 est.	—
Sunrise of West Essex	Fairfield	AL/MC	80 est.	—
Arden Courts of Whippany	Hanover Twp	MC	60	—
Weston Assisted Living	Hanover Twp	AL	60	—
Existing competitive AL/MC			**1,010**	

Source: Morris County Housing Options 2024 (licensed AL units); Caring.com listings for Passaic and Essex communities (capacity estimated where not published). "est." marks ATCO estimates where capacity is not published.

4 · PIPELINE

PROJECT	PROGRAM	UNITS	MILES	STATUS	TREATMENT
Woodmont Senior Living, 79 Interpace Pkwy, Parsippany	AL/MC (of 150 total)	80	4.4	Site plan approved Oct 2022; nothing built or financed since	**Contingent: sensitivity**
Benchmark at Cedar Grove	IL/AL/MC	138	7.9	Under construction since June 2025; opens 2027. Counted at its estimated AL/MC share	**Counted (AL/MC share)**
Arbor Terrace Florham Park	AL/MC	80	8.8	ERCN 2024; construction from Oct 2026	**Outside PMA: not counted**
Peapack Senior Living	AL/MC	96	20.6	Expedited CN July 2026	**Outside PMA: not counted**

Woodmont Parsippany's 80 AL/MC units are approved but unbuilt, so they are treated as contingent supply. Peapack Senior Living (CN July 2026) and Benchmark Cedar Grove are tracked for both Morris County studies.

5 · DEMAND, PENETRATION AND CAPTURE

	BASE	CONSERVATIVE
AL/MC demand at a 10% need rate ÷ 75% PMA share	1,448	970
Less existing and counted pipeline	−1,100	−1,100
Unmet AL/MC demand	**348**	**-130**
Capture needed for 114 AL/MC units, 10% need	**33%**	no unmet demand
Capture at a 12% need rate	18%	> 100%
Capture if contingent supply is built (+80 units)	43%	—
Penetration today (existing + pipeline ÷ qualified households)	10.1%	
Penetration with this project	11.2%	

Benchmarks: lenders want project capture under 10–15% for AL/MC and treat over 25% as a red flag; AL penetration of 6–10% of qualified households is typical of mature markets. The conservative case uses the uncalibrated town method.

NEED RATE (SHARE OF QUALIFIED 75+ HOUSEHOLDS NEEDING AL/MC)	8%	10%	12%	14%
Capture, base supply	> 100%	33%	18%	12%
Capture with contingent supply	no unmet demand	43%	20%	13%

6 · RENT COMPARABLES

COMMUNITY	TOWN	LISTED AL FROM	NOTE
This site (model, private-pay AL)	**—**	**$9,680**	**6% vs Class A median**
Sunrise of Mountain Lakes	Mountain Lakes	$9,971	Class A; another Caring page shows $5,533
Sunrise of West Essex	Fairfield	$8,238	Class A
Fox Trail Memory Care	Montville	$7,500	Small MC home
Brookdale Wayne	Wayne	$5,975	Older
Sunrise of Wayne	Wayne	$5,654	Older
The Bristal at Wayne	Wayne	$5,400	Starting price
Mira Vie at Montville	Montville	$4,825	Older; 152 units
CareOne at Wayne	Wayne	$4,562	Older
CareOne at Parsippany	Parsippany	$4,200	Older

Listed starting prices from public directories, before level-of-care fees ($1,000–3,500 a month); not a rate shop. Sources: Caring.com Wayne, Montville, Parsippany listings (listed prices, Nov 2026; not a rate shop). The Morris County Class A set used by the model (median $9,971) is in the Florham Park study.

7 · ABSORPTION

At 30 months and about 3.5 move-ins a month, the lease-up assumption is already at the norm, but with local rents 40% below the model a building priced like Florham Park would lease slower. Do not proceed on the Morris comp set. Implied pace for the AL/MC wing: about 3.5 net move-ins a month to 91% occupancy in 30 months.

8 · FINDINGS AND NEXT STEPS

- The model rent is borrowed from Florham Park's comp set (Madison, Livingston, Summit). Those towns are outside Montville's market. Only Sunrise of Mountain Lakes and Sunrise of West Essex list above $8,000 here.
- Weighted 65+ household income across the market is about $89,000, against about $103,000 around Florham Park. About 56% of 65+ households clear $75,000 (62% around Florham Park).
- Woodmont's 80 approved AL/MC units in Parsippany are about 4 miles from the site, closer than they are to Florham Park. Benchmark Cedar Grove (opening 2027) is at the eastern edge and is counted at about 90 AL/MC units.

1. Rate shop Mira Vie, the Bristal at Wayne, Sunrise of Wayne and Sunrise of Mountain Lakes before any further work.
2. Re-underwrite at a local Class A rent (about $8,200) to see whether a PILOT still clears 6.5%.
3. Hold behind Florham Park; the two compete for the same Woodmont units.

METHOD, SOURCES AND LIMITS

Demand follows the standard AL/MC method: income-qualified 75+ households × share needing help with daily living ÷ share of move-ins from the PMA, less existing and pipeline competitive units (see /method). National context: NIC MAP reports senior housing occupancy above 90% in 3Q26 and the fewest units under construction since 2012; CBRE's H1 2026 survey puts Class A AL cap rates at 6.5% and says new development needs rents 15–20% above market. **NIC MAP PMA data (property-level occupancy, rents and pipeline) is not available to ATCO**; occupancy above comes from New York State DOH filings where they exist. CoStar was not used. Census API access was not available, so 75+ counts outside Florham Park are estimates calibrated to Florham Park's tract data. Every [est.] figure should be replaced by a NIC MAP pull or a third-party study before LOI. ATCO is not affiliated with RiverSpring Living; RiverSpring is referenced only as the inspiration for the program.